Atchison

Atchison Active Alternatives SMA

31 May 2024

PORTFOLIO PERFORMANCE

The Atchison Active Alternatives SMA delivered -0.1% for the month, and 2.7% over the quarter.

Over the last 12 months, the Atchison Active Alternatives SMA delivered 6.7%, materially beating Inflation by 3.2%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Alternatives SMA has materially underperformed over the last 12 months.

Since inception of the strategy, the Atchison Active Alternatives SMA has delivered 5.4%, beating Inflation by 1.4%. Relative to the Peer Group (FE AMI Peer Average), Atchison Active Alternatives SMA has significantly underperformed since inception of the strategy.

All performance metrics listed above are net of appointed investment management fees but before tax.

Returns vs Benchmarks

	1 Month	2 Months	3 Months	6 Months	1 Year	Since Inception
AtchisonAlts	-0.06	0.31	2.70	5.61	6.75	5.38
SAA Benchmark	0.39	0.78	1.12	2.23	4.39	4.21
Peer Group	1.46	2.54	6.60	7.49	9.18	7.83
Inflation	0.42	0.84	1.27	1.52	3.53	4.00

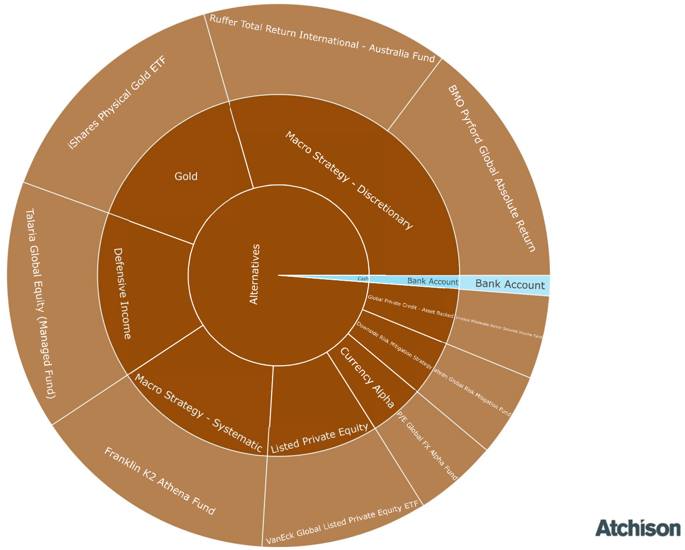
Performance of $100,000 Investment

PORTFOLIO COMMENTARY

- On a weighted basis, the largest contributor to the portfolio outcome has been VanEck Global Listed Private Equity ETF
- The holding that contributed the least to portfolio return was Ruffer Total Return International - Australia Fund
- The holding with the highest absolute return has been VanEck Global Listed Private Equity ETF
- Whilst the holding with the lowest absolute return has been abrdn Global Risk Mitigation Fund

PORTFOLIO CONSTRUCTION

Portfolio Construction - Allocation Category



MARKET OVERVIEW - May 2024

- Recent ABS release shows Australian inflation surprisingly on the upside. Contrary to expectations the uptick on the Monthly Inflation Indicator to 3.6% y-o-y from 3.5% y-o-y was driven by increases in food prices, tobacco, health insurance premiums and fuel.
- This uptick in Australian inflation keeps the risk of another RBA rate hike and rates for longer on the table. RBA kept rates at 4.35% over May.
- Consistent with poor levels of consumer confidence, Australian retail sales rose less than expected 0.1% in April after a 0.4% fall in March.
- A second consecutive budget surplus delivered cost of living relief to Australian households, but arguably could be inflationary.
- Construction activity, retail sales and building approvals recorded soft results. CoreLogic home price data showed a lift in average price growth for the five big capital cities to 0.8% in May.
- US rates remained unchanged at 5.5% while unemployment rose marginally to 3.9%.
- The run-up to the 5 November US election typically generates significant interest and can influence market volatility, regardless of the candidates involved.
- US corporates continued to surpass expectations reporting another solid set of quarterly figures, with Q1 earnings growing 7.8% y-o-y.
- Eurozone unemployment fell to 6.4% in April and there are signs that sentiment is improving and there is a chance that the ECB will cut the interest rate down from 4% for the first time in five years.
- May was a good month for returns from both equities and fixed income. Investor optimism about economic outlook supported risk assets such as shares.
- Developed market stocks (hedged) delivered +4.3% over the month and global bonds also generated positive performance of +1.3%, founded on anticipation of rate cuts.
- Global share markets rebounded from their April negative returns, with the US leading the way returning +4.8% for the month whilst the Australian share market produced a return of +0.9% on the back of stronger than expected inflation numbers and weak consumer company updates.
- After peaking in April, oil prices retreated in May however the broader commodity indices still delivered positive returns of around 1.7%, based on solid global demand and on-going conflicts in both Middle East and Ukraine.

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